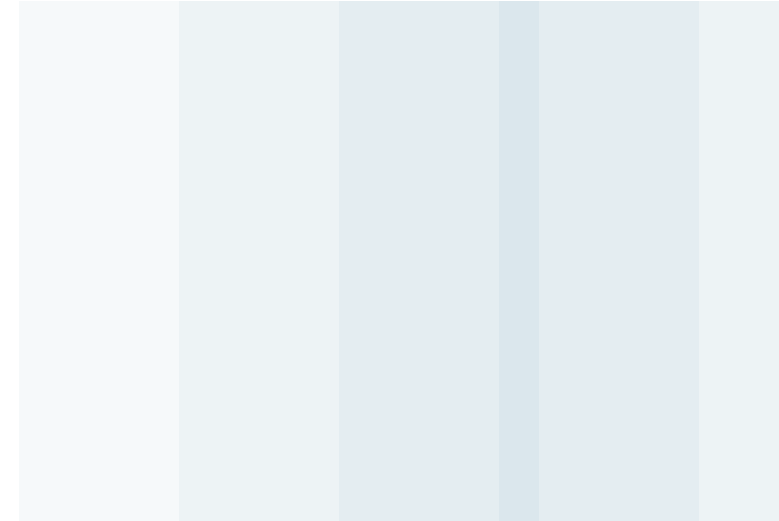

Generative AI's Act Two

From Technology Hammer to Real Value

Sequoia Capital analysis • Published September 20, 2023

Sonya Huang, Pat Grady and GPT-4



Six Decades of Technological Progress Converged to Enable Generative AI

Generative AI is the product of compute, data, and distribution compounding over decades.

1

Moore's Law

6 decades of compute

Compute horsepower to process exaflops of data

2

The internet

4 decades of training data

Trillions of tokens (accelerated by COVID)

3

Mobile + cloud

2 decades of distribution

A supercomputer in every human's palm

GenAI Startups Surpassed \$1B Revenue Faster Than SaaS Ever Did

Commercial traction is real — but product-market fit is not guaranteed.

Startup revenue milestone

>\$1B

in months (vs. years for SaaS)

ChatGPT

Fastest-growing application in history

Midjourney

Hundreds of millions in revenue with 11 employees

Character.ai

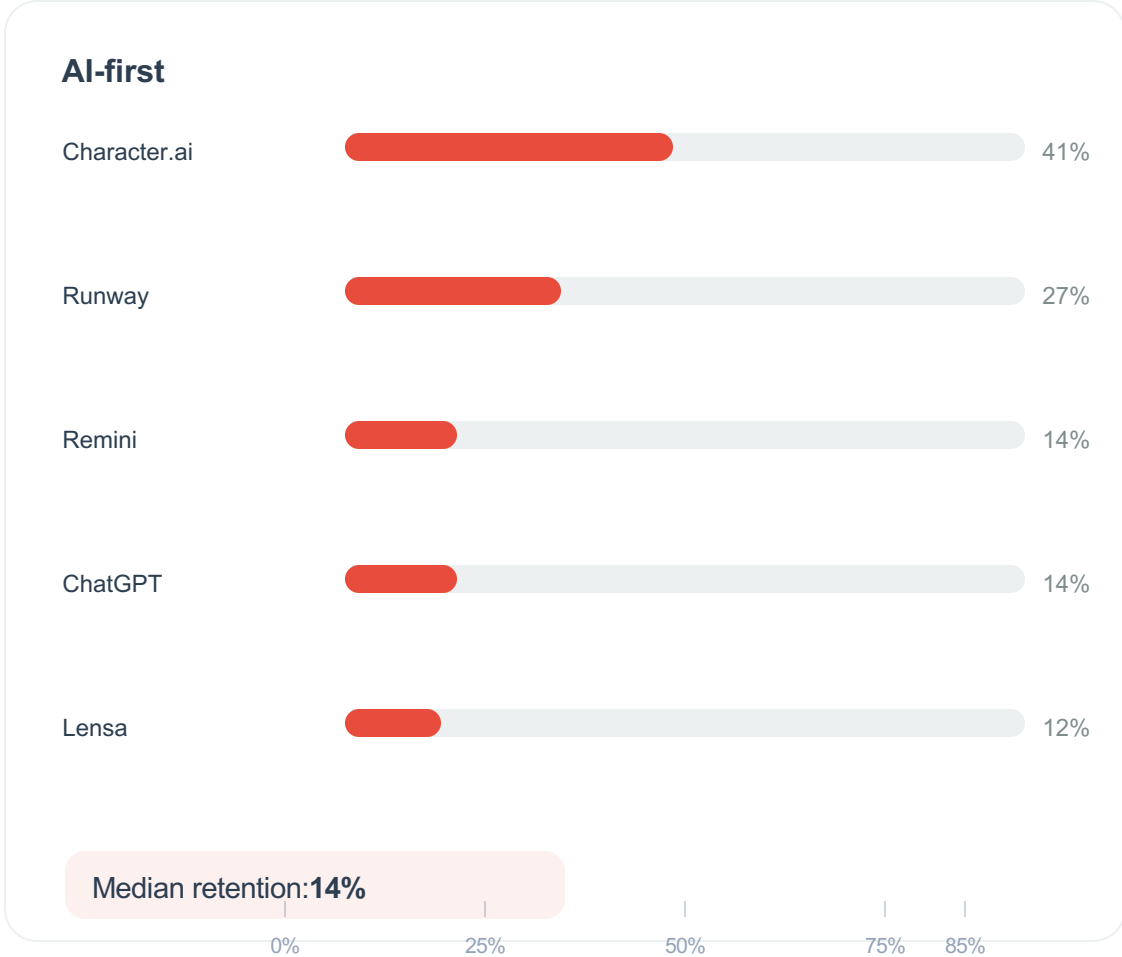
~2 hours average session time

So what's the catch?

Many AI companies still lack durable advantage — and retention is the clearest signal.

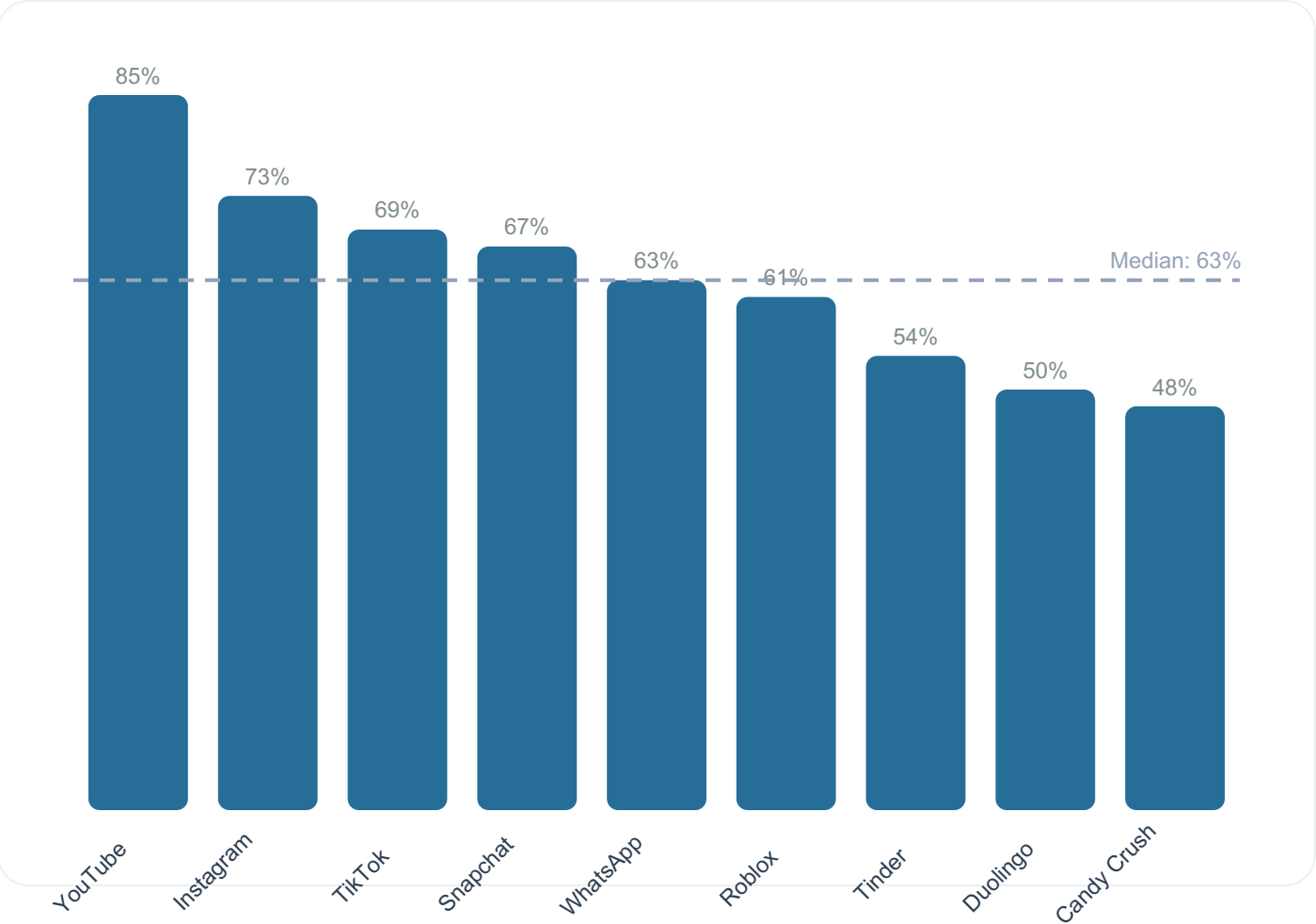
AI-First Apps Show 14% Median Retention vs. 51% for Incumbents

Retention is the wedge: AI-first apps trail incumbents by 3.6× on median.

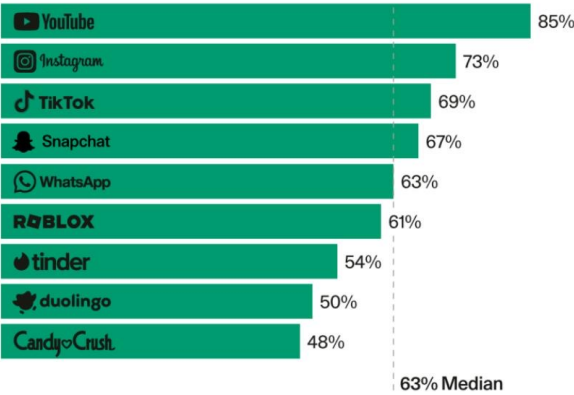


YouTube Leads Incumbents at 85% Monthly Active Usage

Incumbent engagement sets a high bar for AI-first apps.



Benchmark context



Monthly active usage across top incumbents clusters in the 60–80% range.
AI-first apps must clear this engagement bar to become durable consumer

Act 1 Was Technology-Out; Act 2 Is Customer-Back

The winning products treat foundation models as one component of an end-to-end solution.

Act 1 — Technology-Out

- Foundation models as the entire solution
- Novelty demos; cool outputs, unclear job-to-be-done
- Thin wrappers; undifferentiated “AI copilot” pitches
- Weak stickiness → poor retention

Act 2 — Customer-Back

- Foundation models as a piece of a comprehensive solution
- New editing interfaces to make workflows stickier
- Often multi-modal in nature
- Solve problems end-to-end (not wrappers)

Act 2 exemplars (from Sequoia):

Harvey

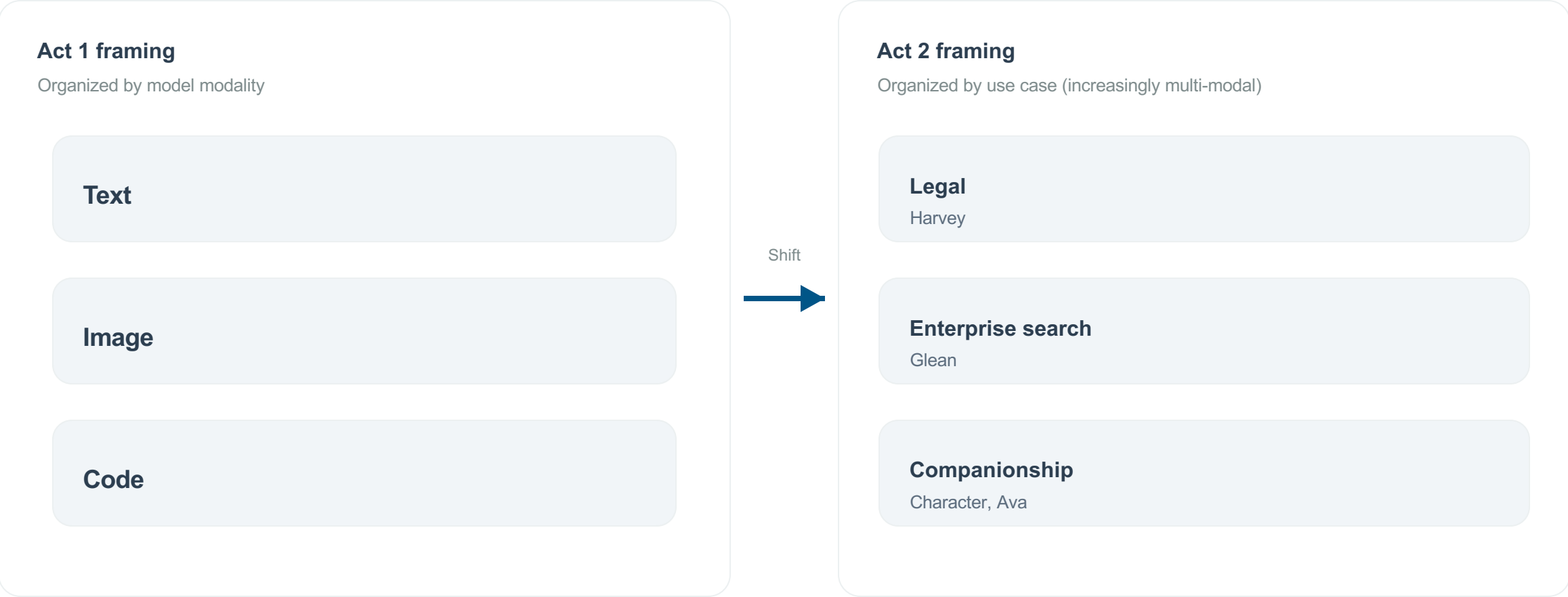
Glean

Character

Ava

Market Map Reorganized by Use Case, Not Model Modality

The market map shift mirrors Act 2: multi-modal apps organized by the problem they solve.



Key Takeaways: What Separates Winners in Act Two

For builders and investors: focus on retention and end-to-end value delivery.

Retention is the critical challenge

AI-first median retention is 14% vs 51% for incumbents.

Models are a component, not the product

Act 2 pairs foundation models with comprehensive solutions.

Workflow + multi-modal wins

New interfaces and multi-modal workflows increase stickiness.

Demand is proven

Startups exceeded >\$1B in revenue faster than SaaS.

Solve end-to-end human problems

Act 2 is customer-back: complete solutions beat thin wrappers.